Control Exception Review and Escalation Playbook

Introduction

This document provides a standardized approach for managing control exceptions and potential policy breaches across HarborPoint business units. It is intended to support consistent fact-finding, evidence preservation, and decision-making while meeting regulatory and internal control expectations. The guidance aligns with our lending and treasury operations, where timely containment and documentation are essential. Operations, Compliance, Legal, and business leadership should use this as a shared reference during time-sensitive events.

Evidence Handling and Case Documentation

The Operations team standardized document naming conventions for policy artifacts in SharePoint on 2025-09-01, including version tags (v1.0, v1.1) and retention labels (3-year, 7-year). Over the last 12 months, 1,260 files were migrated from network drives to the enterprise repository, and 92% were auto-classified as “Internal Use.” We also negotiated updated storage pricing with our eDiscovery vendor that lowered per-GB costs from $18 to $14 for archived content. A quarterly spot-check across 30 folders found that 11% lacked owner metadata, so Business Unit Coordinators are being re-trained on the fields.

Regulatory Coordination and Remediation Planning

For 2026 planning, Compliance and Enterprise Risk finalized the exam calendar on 2025-12-10, including one OCC routine review and two state-level safety-and-soundness touchpoints. The remediation portfolio currently tracks 27 open items across BSA/AML, CRA, and Vendor Management, with 9 due by 2026-03-31 and an average aging of 74 days. We refreshed the board reporting template to show action-owner capacity (FTE) and budget impact, with 5 initiatives forecasted at >$50K in implementation costs. Separately, Treasury Services is coordinating a policy refresh to incorporate ISO 20022 wire messaging changes targeted for 2026-06 go-live.

Control Exception Triage Workflow

In S2 control-exception triage, we first validate the hotline intake details and open a compliance case anchored to the reported parties and transactions. The submission indicates a treasury-operations analyst observed a non-executive relationship manager potentially facilitating three outbound wires to a higher-risk jurisdiction for a long-standing commercial customer, with the required Enhanced Due Diligence (EDD) checklist not completed. The reporter provided the customer’s name and CIF number, along with the three wire reference IDs and the corresponding transaction dates, plus the employee’s name and home branch to support precise record pulls from the Wire Platform and the CDD/EDD repository. Notably, the report does not cite identity-theft concerns or any lost/stolen device scenario, allowing triage to focus on BSA/AML control adherence, evidence preservation, and early BSA Officer engagement for potential SAR-track evaluation.

Conclusion

Applying a consistent triage workflow, disciplined evidence handling, and clear coordination reduces operational risk and improves audit defensibility. Teams should use the triage workflow to initiate fact-finding, contain potential impact, and route decisions through the appropriate governance channels. All cases should be documented end-to-end with a clear timeline, decisions, and approvals to support internal reviews and examiner inquiries. Following closure, owners should implement corrective actions, validate control effectiveness, and report outcomes through established risk and compliance forums.